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SECRET

Mr. KO

BRIEF

BRIEF OUTLINE OF OBSERVATIONS OF CONDITIONS IN FORMOSA BY A CERTAIN JAPANESE 30 Aug 49

A young Japanese formerly employed by Japanese intelligence in Shanghai visited Formosa. His observations are hereby presented.

The Nationalists have lost the support of the people. The Nationalist Air Force, four wings, is the only agressively loyal force left. 50 to 60 planes make daily raids in the direction of Shanghai. The air force morale is maintained by high pay and preferential treatment. The morale and discipline in the army and navy is, on the contrary, quite low.

Industries in Formosa are suffering from ineffeciency and lack of maintenance. They are now incapable of supporting the population. The rice yield is off by one-third due to shortage of commercial fertilizers.

The leaders of the Nationalist party have lost confidence in victory, and CHIANG KAI-SHEK's immediate subordinates have grasped control of the party and are exploiting the people. Party members advocating reform are jailed or assasinated.

The administration in Formosa is sheer corruption. Although the population has doubled, the number of officials has increased elevenfold under the Chinese. The people are suffering under the burden of illegal taxes.

Dissatisfaction and Communism agitation is vigorously suppressed, and anti-Nationalist movements are at present impossible.

The Nationalist air and sea blockade of Shanghai seems to be bearing fruit in disrupting the economic life of the city. The secret police (GUNTC) left behind in Shanghai to conduct strategic spying seem to be of some value.

The Chinese from the mainland treat the Formosan Chinese like foreign nationals and they are living miserable conditions. Their aspirations have progressively changed from independence to self-government, to international administration and at present would turn to anything or anybody who would ease their present plight, including the Communists.